

investing your own time and labor to earn money. Working income is important because, without it, it is almost impossible to address the other three net worth factors.

Working income is how we fill up our financial “funnel,” so to speak. All things being equal, the more working income you earn, the more you can save and invest. Although working income is critical, again it is only valuable as a part of the entire net worth equation.

Unfortunately, poor and many middle-class people focus exclusively on working income, out of the four factors. Consequently, they end up with a low or no net worth.

Passive income is money earned without you actively working. We will discuss passive income in greater detail a little later, but for now, consider it another stream of income filling up the funnel, which can then be used for spending, saving, and investing.

Savings is also imperative. You can earn wads of money. But if you don't keep any of it, you will never create wealth. Many people have a financial blueprint that is wired for spending. Whatever money they have, they spend. They choose immediate gratification over long-term balance. Spenders have three mottoes. Their first motto is “It's only money.” Therefore, money is something they don't have much of. Their second motto is “What goes around, comes around.” At least they hope so, because their third motto is “Sorry, I can't right now. I'm broke.” Without creating income to fill the funnel and savings to keep it there, it is impossible to address the next net worth factor.

Once you've begun saving a decent portion of your income, then you can move to the next stage and make your money grow through investing. Generally, the better you are at investing, the faster your money will grow and generate a greater net worth. Rich people take the time and energy to learn about investing and investments. They pride themselves on being excellent investors or at least hiring excellent investors to invest for them. Poor people think investing is only for rich people, so they never learn about it and stay broke. Again, every part of the equation is important.

Our fourth net worth factor may well be the “dark horse” of the bunch, because few people recognize its importance in creating wealth. This is the factor of “simplification.” It goes hand in hand with saving money, whereby you consciously create a lifestyle in which you need less money to live on. By decreasing your cost of living, you increase your savings and the amount of funds available for investing.